THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

[MACC7011] [Financial Markets Regulations and Compliance]

GENERAL INFORMATION

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Consultation times: By appointment

Course Website: TBD
Reference Book: TBD
The following programming languages are used in this course: TBD

COURSE DESCRIPTION

The financial market is facing increasing demand for compliance and good governance practices due to the rapidly changing regulatory landscape, the increasing global nature of issues we face, and the need to align HK with international standards/maintain its status as a major international financial center. It is important that these changes be appreciated, new boundaries recognized, and a robust governance culture and control framework be established.

This course seeks to achieve that and is broadly divided into 2 parts. Part 1 will start with an overview of the financial regulatory framework in Hong Kong, including the powers and functions of regulatory bodies such as the Securities and Futures Commission (SFC), Stock Exchange of HK (SEHK) and the HK Monetary Authority (HKMA). Selected Ordinances, Code of Conducts, Guidelines, and HK Listing Rules will be explored in depth with the overarching concept of fitness and properness of licensed persons discussed. Recent seismic amendments to securities regulations particularly that governing equity issuances/transactions (IPOs, M&As, Placings) such as CSRC filing regime, sponsor coupling, appointment of overall coordinators, placing allocation, price discovery, market sounding, fees allocation, bookbuilding will be explained as would recent landmark judgment on the overriding consideration of fairness in valuation. Laws and regulations regarding major market misconduct such as insider dealing, money laundering, bribery, fraud, and stock market manipulation will be critically examined in the context of increased regulatory scrutiny and actual enforcement cases.

Part 2 will proceed to examine, in the context of this financial market regulatory framework, the governance structure, culture and controls. Specifically, the scope of Part 2 concerns discussions on a) the role of the Board of directors, particularly in this new era of enhanced corporate governance expectations; and b) the role of Compliance, which stands at the confluence of law, ethics and risk management. Insights into Compliance processes that help shape an organization's conduct such as conflicts management, disclosure, use of intermediaries etc. will be provided; and so would management/mitigation of occurrences of market misconduct offences such as information barrier, dealing restrictions and whistleblowing. The course will end with examining topics relating to interactions amongst stakeholders often overlooked yet critically important such as handling of relationships with regulators, crisis management, dawn raids, greenwashing and professional legal privilege. The course adopts a practical approach and will be taught with examples, actual disciplinary and/or court cases.

COURSE OBJECTIVES

1. To develop knowledge of the HK financial regulatory framework including the powers and functions of the Securities and Futures Commission.
2. To improve ability to research and find legal and regulatory information and updates amidst the fast-changing regulatory landscape.
3. To understand the seriousness and impact of financial market misconduct both on a personal level and at an institutional level.
4. To acknowledge the key role played by Compliance in setting base lines and standards, and in acting as a critical line of defense in protecting the Group's reputation.
5. To appreciate the growing significance of Corporate Governance within the financial market ecosystem in ensuring accountability, fairness, and transparency.
6. To recognize that the maintenance of HK's status as a major international financial center is dependent on the collective efforts of all stakeholders involved.

PROGRAMME LEARNING OUTCOMES

PLO1: [Acquiring and internalizing accounting and business knowledge and skills]

PLO2: [Applying and integrating accounting and business knowledge]

PLO3: [Inculcating professionalism and leadership]

PLO4: [Developing a global outlook]

PLO5: [Mastering communication skills]

COURSE LEARNING OUTCOMES

Course Learning Outcomes	Aligned Programme Learning Outcomes
CLO1: Develop an understanding of the HK financial regulatory framework including the powers and functions of the Securities and Futures Commission and the Stock Exchange of HK.	PLO [1, 2, 3, 4]
CLO2: To improve awareness of the legal boundaries on market misconduct	PLO [1, 2, 3,4]
CLO3: To gain an appreciation of the role and significance of Compliance	PLO [3,4]
CLO4: To solidify one's knowledge of Corporate Governance and current regulators expectations	PLO [3,4]
CLO5: Enhance leadership, teamwork and communication skills through case studies and assignments	PLO [3,4, 5]

COURSE TEACHING AND LEARNING ACTIVITIES

Course Teaching and Learning Activities	Expected Hour	Study Load (% of study)
T&L1. Interactive lectures	30	23%
T&L2. Online forum discussions	10	8%
T&L3. Assignments & Tutorials	50	38%
T&L4. Lecture preparation & Self-study	40	31%
Total	130	100%

Assessment Methods	Brief Description (Optional)	Weight	Aligned Course Learning Outcomes
A1. In-class & forum participation	Attendance & discussions	20%	CLO1, 2, 4
A2. Assignments	Effort and accuracy	30%	CLO1, 2, 3, 4
A3. Final exam	Effort and accuracy	50%	CLO1, 2, 4
	Total	100%	

STANDARDS FOR ASSESSMENT	
Course Grade Descriptors	
A+, A, A-	• Demonstrate a strong understanding of all relevant knowledge • Handling questions professionally • High participation in discussions • Present arguments that have an element of originality • Achieve a standard of excellent performance in the exams with very accurate computation and very good analytical and problem-solving skills • Excellent performance in assignments
B+, B, B-	• Demonstrate a good understanding of all relevant knowledge • Handling questions in a logical way • Good participation in discussions • Present arguments that go beyond the lecture and textbook • Achieve a standard of good performance in the exams with accurate computation and good analytical and problem-solving skills • Good performance in assignments
C+, C, C-	• Demonstrate a basic understanding of the concepts involved • Fairly address questions as set • Some participation in discussions • Present arguments in a well-structure manner • Meet a standard of acceptable performance in the exams with reasonably accurate computation and acceptable analytical and problem-solving skills • Acceptable performance in assignments
D+, D	• Demonstrate a minimum understanding of the concepts involved • Barely address questions as set • Minimal or no participation in discussions • Present arguments in a marginally acceptable manner • Meet a standard of marginally acceptable performance in the exams with some errors in computation and barely adequate analytical and problem-solving skills • Marginally acceptable performance in assignments
F	• Demonstrate a poor understanding of the concepts involved • Unable or unwilling to handle questions • Minimal or no participation in discussions • Present arguments poorly • Fail to meet a standard of passing the exams with major errors in computation and inadequate analytical and problem-solving skills • Poorly performance in assignments
Assessment Rubrics for Participation	
A+, A, A-	• High participation in discussions • Always attend in-class discussions • Demonstrate a strong understanding of all relevant knowledge • Handling questions professionally • Present arguments that have an element of originality • Respect others and follow the class rules (no chatting and do not use cell phone)
B+, B, B-	• Good participation in discussions • Often attend in-class discussions • Demonstrate a good understanding of all relevant knowledge • Handling questions in a logical way • Present arguments that go beyond the lecture and textbook • Respect others and follow the class rules (no chatting and do not use cell phone)
C+, C, C-	• Some participation in discussions • Sometimes attend in-class discussions • Demonstrate a basic understanding of the concepts involved • Fairly address questions as set • Present arguments in a well-structure manner • Respect others and follow the class rules (no chatting and do not use cell phone)
D+, D	• Minimal or no participation in discussions • Rarely attend in-class discussions • Demonstrate a minimum understanding of the concepts involved • Barely address questions as set • Present arguments in a marginally acceptable manner • Respect others and follow the class rules (no chatting and do not use cell phone)

F	• Minimal or no participation in discussions • Almost never attend in-class discussions • Demonstrate a poor understanding of the concepts involved • Unable or unwilling to handle questions • Present arguments poorly • Behave poorly in class (often chatting with others, using cell phones, or being late)
Assessment Rubrics for Assignments and the Exam	
A+, A, A-	• Demonstrate a strong understanding of all relevant knowledge • Present arguments that have an element of originality • Achieve a standard of excellent performance in the assessments with very accurate computation and very good analytical and problem-solving skills
B+, B, B-	• Demonstrate a good understanding of all relevant knowledge • Present arguments that go beyond the lecture and textbook • Achieve a standard of good performance in the assessments with accurate computation and good analytical and problem-solving skills
C+, C, C-	• Demonstrate a basic understanding of the concepts involved • Present arguments in a well-structure manner • Meet a standard of acceptable performance in the assessments with reasonably accurate computation and acceptable analytical and problem-solving skills
D+, D	• Demonstrate a minimum understanding of the concepts involved • Present arguments in a marginally acceptable manner • Meet a standard of marginally acceptable performance in the assessments with some errors in computation and barely adequate analytical and problem-solving skills
F	• Demonstrate a poor understanding of the concepts involved • Present arguments poorly • Fail to meet a standard of passing the assessments with major errors in computation and inadequate analytical and problem-solving skills

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

	Topic	Description
1	Overview of Financial Regulatory Framework in HK	• Existing Financial Regulatory Ecosystem in HK. • Key regulators: HKMA, SFC, IA MPFA, SEHK • Concept of Regulated activities • Key financial ordinances (Cap 571, Cap 155 etc) • Powers of the SFC (s194, 196, 213, 214 etc.) • Recent key enforcement and disciplinary cases.
2	Overarching concept of Fitness and Properness	• SFC Code of Conduct, Fit and Proper Guideline • Relevance of concept • Determining what is fit and proper
3	Market Misconduct explained	• Money Laundering (OSCO Cap 455) AMLO Cap 615 • Insider Dealing (SFO Cap 571) • Stock market manipulation (SFO Cap 571) • Bribery and corruption (POBO Cap 201) • disclosure of false/misleading information. (SFO) •
4	Equity Markets Regulation	• Role of Reporting Accountants as gatekeepers of financial integrity, due diligence, profit forecast, comfort letters, Recent major reforms (HK Listing Rules, SFC CoC) • Recent Reforms - Redefined roles and responsibilities of Parties Involved, sponsor coupling, OCs, CMIs, fixed/discretionary fee ratio • CSRC filing regime and its impact on Chinese Base Enterprise and HK IPOs – 3 years on • Placing and Bookbuilding reforms • Market sounding requirements
5	Takeovers/Mergers and Acquisitions	• Financial Advisors/Directors - Valuation expectations • Anti-competition, Data Privacy • Private vs Public M&A • Takeovers Code and Mandatory Offer

6	Corporate Governance Explained (1) –	• What is Corporate Governance – placing the concept in context • Defining the governing regime and framework, including updated SEHK Corporate Governance Code post public consultation • About listed companies' corporate governance • About family offices governance • About Risk Management and Internal controls • About Committees and Executive Remuneration • Corporate Scandals
7	Corporate Governance (2) – Deep dive Director's duties	• Board composition and diversity • Directors' duties from a common law legal perspective • Directors' duties from Companies Ordinance' perspective • Directors' duties from Corporate Governance perspective • Directors' duties from a Takeover Code's perspective • Directors 'duties from a listed company's perspective • Role of INEDs: independence, duration, shareholding • Trending: navigating directors' duties in a digital age.
8	Compliance Role	• Compliance as a function • Key Domains: client protection, compliance with laws (sanctions, embargoes, Volker Rule, MARS etc.), professional ethics, market integrity • Key concepts: conflicts tree, declarations, Chinese wall, disclosures, screening, dealing restrictions • Interactions with stakeholders: senior management, control functions, risk and legal department.
8	Compliance Processes	• Code of Conduct, whistleblowing • Transaction screening, suspicious transaction reporting, • MNPI, wall-crossing • Client Screening, KYC • Intermediaries, fees and rebates • Behaviour: personal account dealing, entertainment
10	Relationship with external stakeholders	• Nexus with regulators • Crisis management • Dawn Raids • greenwash • legal professional privilege

REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS (e.g. journals, textbooks, website addresses etc.)

To be announced on Moodle.

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

☐ Online response via Moodle site
☒ Others: ___SFTL_____ (please specify)

COURSE POLICY (e.g. plagiarism, academic honesty, attendance, etc.)

An orderly learning environment is extremely important for this course. Disruptive behaviors are absolutely unacceptable. Academic dishonesty includes cheating, plagiarism, unauthorized collaboration, falsifying academic records, and any act designed to avoid participating honestly in the learning process. Any such dishonesty will result in an F grade.

ADDITIONAL COURSE INFORMATION (e.g. e-learning platforms & materials, penalty for late assignments, etc.)

Assignments will be submitted in class before the lectures. No late assignment will be accepted.
Lecture notes and self-learning materials will be uploaded on Moodle.
Good questions and discussions on Moodle will be awarded participation grades.